Solution

Journal entry

Date	Particulars		L.F.	Debit ₹	Credit ₹
2019	Profit and loss appropriation A/c	Dr.		10,000	
March 31	General reserve A/c	Dr.		15,000	
	Workmen compensation fund A/c	Dr.		17,000	
	To Prince's capital A/c (42,000 × 2/7)				12,000
	To Dev's capital A/c (42,000 × 4/7)				24,000
	To Sasireka's capital A/c (42,000 × 1/7)				6,000
	(Accumulated profits and reserve transferred to all partners' capital account in the old profit sharing ratio)				

6.4 Revaluation of assets and liabilities

When a partner retires from the partnership firm, the assets and liabilities are revalued as the current value may differ from the book value. There are two ways in which the revaluation of assets and liabilities may be dealt with in the accounts.

(a) Revised value of assets and liabilities are shown in the books

(b) Revised value of assets and liabilities are not shown in the books

(a) When revised value of assets and liabilities are shown in the books:

Under this method, the assets and liabilities are shown at their revised values in the books and in the balance sheet which is prepared immediately after the retirement of a partner. A revaluation account is opened to record the increase or decrease in the value of assets and liabilities. Revaluation account which is otherwise called profit and loss adjustment account is a nominal account. Revaluation account is credited with increase in value of assets and decrease in the value of liabilities. It is debited with decrease in value of assets and increase in the value of liabilities. Unrecorded assets if any are credited and unrecorded liabilities if any are debited to the revaluation account. The profit or loss arising therefrom is transferred to the capital accounts of all the partners in the old profit sharing ratio.

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